markets, lower priced stocks do perform relatively better. In a few, however, they do not. What makes the difference? In April 1983, *The Elliott Wave Theorist* prepared readers for a *change in behavior* toward less robust action in secondary stocks. As detailed in Appendix A of *Elliott Wave Principle* and explained further in Chapter 9, that forecast was based upon one crucial and overriding fact: *Fifth waves produce weak advance-decline figures.* Indeed, July 1983, just three months after EWT published its analysis, marked the peak of wave (3) of ③ counting from the 1974 low (see Figure 2-6) and thus the broadest portion of the bull market.

The point that was due to mark a shift toward even *greater* slippage in secondary stocks' relative performance was the same wave position counting wave ③ from the *1982* low (see Figure 2-8). As *The Elliott Wave Theorist* said in September 1984, "Secondary stocks should roar to new highs, performing like champions at least up until the peak of Intermediate wave (3) of Primary wave ③. From that point on, stock selection will have to be made more carefully." Shortly thereafter, secondary stocks blasted off again. Their strength waned in 1985, and as the peak of wave (3) of ③ approached, the May 5, 1986 issue flatly stated the following: *"If you are a stock picker or portfolio manager, you should prepare yourself for increased selectivity from here on out."* As you can see by the advance-decline line for the NASDAQ exchange shown in Figure 8-3, that is exactly when the market began displaying "increased selectivity." After 4½ years, secondary stock performance improved again for three years following the 1990 low, as you can observe from Figures 8-3, 8-4 and B-13. Even then, though, their relative strength did not approach that of 1975-1983, and beginning in early 1994, secondary stocks began lagging again.

The "superior performance of secondary stocks" you have read about for the past twelve years is a mirage. The NASDAQ index has actually been propelled for the most part by a narrow list of aggressively purchased high-priced stocks (such as Microsoft, Oracle Systems, Intel and MCI). Most other issues have risen more slowly or fallen. It is thus classically ironic that the case for secondary stocks has taken such root in the past ten years. Secondary stocks outperformed blue chips for five long decades, in every bull market from 1932, *until 1983*, when suddenly they began to lag. It was then, immediately upon the termination of this tendency after four long decades, that academics discovered and popularized the idea that secondary stocks were reliable outperformers. Ever since then, the pros have continued to tout the secondaries, and they are still doing